

at the end of thirty years, he will have paid \$110,377 more in interest dollars than Doug, who had the better credit score.

Keeping the Score

If it did not make much sense to you before, now it becomes crystal clear why we should care about raising our credit score. \$110,000 is a lot of money. To a rich man, to a poor man, to every man, that is a lot of money. It does not have to leave your pockets and enter the coffers of the financial bloodhounds. For very little effort, you can boost your credit score and see big results.

If you do have a good credit score, it is imperative that you keep it that way. It is all too easy to skip a credit card payment or pay the mortgage late “just this once,” but doing so can impact your credit score. Although it does not seem fair, one late payment on your mortgage gets reported on your credit report. That could mean a higher interest rate for you in the event you decide to refinance your current mortgage or if you apply for a home equity loan or if you move and need a new mortgage. It is akin to the grade point average; one bad grade makes it plummet, and it is so hard to raise it back up again. So when your credit score is at a good level, make the effort to keep it there.

MORE EASY STRATEGIES FROM BAD CREDIT TO GOOD CREDIT!

Some of these techniques are plain old common sense, but some strategies for improving and maintaining your credit score are unexpected. Just follow the steps outlined here and you will see an improved credit score!

1. Pay on time.

We all know we should make timely payments, but we probably didn't realize that every late payment shows as a negative factor on the credit report. Now that we know the credit score is purposely looking for negatives to ding us on, we don't need to give them easy marks to use against us.